CASCADIA ANALYTICS

ASML Holding N.V.

Equity Research Note | ASML | 21 OCTOBER 2026

Unassailable Monopoly

ASML Holding N.V. screens as a Hold, Valuation Concerns with a $1,436.21 blended target, 14% below the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$1,676.69	$1,436.21	-14%	HOLD, VALUATION CONCERNS

Investment Thesis

Unassailable Monopoly. ASML holds 100% share in EUV lithography with no commercial alternative for sub-7nm patterning. Gross margin of 57.5% [10-Q Q3 FY26] reflects pricing power no peer can match. AI Capex Supercycle. Foundry customers are raising equipment forecasts and discussing 2029-2030 orders now. Memory system sales guided up 75% [8-K guid] on HBM demand. Price Demands Perfection. At $1,642 [Mkt 16-Oct-26], the market prices in 21.9% revenue CAGR, above our 18.5% bull case. Our $1,408.40 base target

- Unassailable Monopoly
- AI Capex Supercycle
- Price Demands Perfection

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The latest print

AI Capex Supercycle. Foundry customers are raising equipment forecasts and discussing 2029-2030 orders now. Memory system sales guided up 75% on HBM demand.

Price Demands Perfection. At $1,642, the market prices in 21.9% revenue CAGR, above our 18.5% bull case. Our $1,408.40 base target implies 13.6% downside. Exceptional business, demanding price.

€11.66B	57.5%	€4.96B	€3.29B	€12.7B	113
REVENUE (Q3)	GROSS MARGIN	NET INCOME	INSTALLED BASE MGMT	CASH & INVESTMENTS	NEW SYSTEMS SOLD

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q3)	€11.66B	+55.0%	Up
Gross Margin	57.5%	+3.5 pts	Up
Net Income	€4.96B	+133%	Up
Installed Base Mgmt	€3.29B	+19% QoQ	Up
Cash & Investments	€12.7B	+68% QoQ	Up
New Systems Sold	113	+27 QoQ	Up
FCF Margin (LTM)	28.5%	n/a	Up
Net Cash	€11.0B	n/a	Up

The moat

High-NA EUV ASP uplift (€350-400M per system vs ~€200M standard EUV)

The growth engine

Memory capex: 75% growth guided for 2026 on HBM/AI demand

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

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ASML Holding N.V. valuation framework

SCENARIO	WEIGHT	2026–31 CAGR	2031 REVENUE	2031 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	10.5%	$73.31B	42.5%	**$1,154.18**	-31%
Base	50%	14.0%	$85.68B	45.0%	**$1,408.40**	-16%
Bull	25%	18.5%	$103.98B	47.5%	**$1,773.87**	+6%

Bear: downside case at $1,154.18 (-31%).

Base: central case at $1,408.40 (-16%).

Bull: upside case at $1,773.87 (+6%).

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The probability-blended target implies 14% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -14% from the $1,676.69 reference price.

$1,436.21
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2025E)	**$44.50B**
Valuation horizon	**2026-2031**
Live WACC	**9.91%**
WACC path (Year 1 to final year)	**9.91% to 8.81%**
Terminal growth	**4.0%**
Net cash	**$8.53B**
2031 FCF (Base)	**$30.39B**
10-year Treasury yield	**5.1%**
Beta	**1.30**
Equity risk premium	**3.7%**

HOLD, VALUATION CONCERNS | $1,436.21 BLENDED TARGET | WEN

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The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 22.6%. at/above Bull (18.5%) , euphoric

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-10%	$149.0B	$410.18	+10%	$346.2B	$923.44	+30%	$739.7B	$1,948.10
-9%	$155.7B	$427.51	+11%	$360.3B	$960.28			
-8%	$162.6B	$445.57	+12%	$375.0B	$998.41			
-7%	$169.8B	$464.37	+13%	$390.1B	$1,037.87			
-6%	$177.4B	$483.94	+14%	$405.8B	$1,078.69			
-5%	$185.2B	$504.31	+15%	$422.0B	$1,120.91			
-4%	$193.3B	$525.50	+16%	$438.8B	$1,164.57			
-3%	$201.8B	$547.53	+17%	$456.1B	$1,209.69			
-2%	$210.6B	$570.43	+18%	$474.0B	$1,256.32			
-1%	$219.7B	$594.24	+19%	$492.5B	$1,304.50			
+0%	$229.2B	$618.96	+20%	$511.6B	$1,354.26			
+1%	$239.1B	$644.64	+21%	$531.4B	$1,405.65			
+2%	$249.3B	$671.30	+22%	$551.8B	$1,458.70			
+3%	$260.0B	$698.97	**+23%**	**$572.8B**	**$1,513.46**			
+4%	$271.0B	$727.68	+24%	$594.5B	$1,569.97			
+5%	$282.4B	$757.46	+25%	$616.9B	$1,628.26			
+6%	$294.3B	$788.33	+26%	$640.0B	$1,688.39			
+7%	$306.6B	$820.34	+27%	$663.8B	$1,750.39			
+8%	$319.3B	$853.50	+28%	$688.4B	$1,814.32			
+9%	$332.5B	$887.86	+29%	$713.7B	$1,880.20			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

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SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$386.22B	—	4.0%	$8.53B	$394.74B	**$1,154.18**
Base	$473.17B	—	4.0%	$8.53B	$481.69B	**$1,408.40**
Bull	$598.16B	—	4.0%	$8.53B	$606.69B	**$1,773.87**

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030	2031
Bear	$1,154.18	$1,268.56	$1,356.20	$1,447.30	$1,541.93	$1,639.75	$1,740.13
Base	$1,408.40	$1,547.97	$1,663.30	$1,782.92	$1,906.37	$2,032.45	$2,160.02
Bull	$1,773.87	$1,949.66	$2,104.80	$2,265.84	$2,431.27	$2,598.90	$2,765.94

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $1,436.21 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

High-NA EUV ASP uplift (€350-400M per system vs ~€200M standard EUV)

Memory capex: 75% growth guided for 2026 on HBM/AI demand

Installed Base Management compounding at ~50% growth

Revenue and margin trend

METRIC	FY22	FY23	FY24	FY25E	LTM
Revenue	€21.2B	€27.6B	€28.3B	€32.5B	€40.1B
Gross Margin	50.5%	51.3%	51.9%	53.0%	56.2%
Net Income	€5.6B	€7.8B	€7.6B	€9.2B	€14.1B

Valuation cross-check

P/E (fwd) 26.2x

EV/EBITDA 28x

FCF Yield ~4.4%

Multiples assume flawless execution; cash yield alone does not compensate.

AMAT 20x P/E

LRCX 22x P/E

KLAC 24x P/E

ASML commands a ~25% premium to equipment peers. Monopoly justifies part of it, not all.

Current 28x EV/EBITDA

5-Yr Avg ~20x

Trading in the top quartile of its own history, pricing in a sustained upcycle.

What to monitor

Jan 2027. Q4 FY26 Earnings (Two-Sided): Test of €14.2-15.2B guide and High-NA shipment pace.

2027-2028. High-NA Volume Ramp (Positive): 0.55 NA systems moving to volume production at TSMC/Intel.

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Ongoing. China Export Policy (Two-Sided): Further DUV restrictions would remove ~20% revenue exposure.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2021	$18.6B	$9.8B	$6.8B	—
2022	$21.2B	$10.7B	$6.5B	$7.1B
2023	$27.6B	$14.1B	$9.0B	$10.0B
2024	$28.3B	$14.5B	$9.0B	$10.1B
2025	$32.7B	$17.3B	$11.3B	$12.6B

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2021	$30.2B	$20.1B	$10.1B	$7.0B
2022	$36.3B	$27.5B	$8.8B	$7.3B
2023	$40.0B	$26.5B	$13.5B	$7.0B
2024	$48.6B	$30.1B	$18.5B	$12.7B
2025	$50.6B	$31.0B	$19.6B	$12.9B

Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2021	$10.8B	$-901M	$-9.9B	$9.9B
2022	—	$-1.3B	$-7.1B	$7.2B
2023	—	$-2.2B	$-3.0B	$3.2B
2024	—	$-2.1B	$-2.8B	$9.1B
2025	—	$-1.6B	$-8.7B	$11.0B

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Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $1,436.21 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 46 of 100: balanced, typical corporate alignment

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.01% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $0 of sales, a net flow of $0. One-year total shareholder return is +61.2% against CEO total pay of $4.24M (Mr. Christophe D. Fouquet), which the model scores as PERFORMANCE EARNED.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	2 / 40	0.01% of shares held by insiders
Form 4 Flow (Conviction Flow)	18 / 30	Buys $0 (0) vs sales $0 (0), net $0, trailing six months
Pay-for-Performance	26 / 30	PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +61.2%; Mr. Christophe D. Fouquet, President, CEO and Chair of the Board of Management, total pay $4.24M
Agency Risk Score	**46 / 100**	Regime: BALANCED / TYPICAL CORPORATE

SEC proxy audit

N/A. The weekly DEF 14A proxy pipeline holds no CD&A audit record for this ticker (foreign private issuers file no DEF 14A), so no audit findings are shown.

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Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 21 October 2026 for this note.

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The bear case

China Export Controls

Tightening restrictions on DUV lithography exports threaten approximately 20% of revenue tied to Chinese fabs.

Semiconductor Cyclicality

WFE spending is inherently cyclical; a downturn in memory or logic capex would hit bookings with a 12-18 month lead time.

Customer Concentration

A handful of foundries (TSMC, Samsung, Intel) drive the majority of system sales, concentrating demand risk.

The strengths

Operating Quality

Absolute EUV monopoly with 57.5% gross margins and a net-cash balance sheet. Cyclical equipment exposure prevents a top-decile score.

Recent Trend

Record Q3: revenue up 55% YoY, margins expanding, guidance raised for the third time this year. Textbook acceleration.

Forward Growth

High-NA ramp, 75% memory growth guide, and AI capex visibility through 2030. Drivers are disclosed and measurable.

Valuation

Priced for perfection: 28x EV/EBITDA, 26x forward P/E, above 5-year multiple history. Reverse DCF implies 21.9% CAGR, above our bull case.

Cascadia scorecard

Composite score 68: Attractive. Confidence High, as of 16-Oct-2026.

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PILLAR	RATIONALE	SCORE
Operating Quality	Absolute EUV monopoly with 57.5% gross margins and a net-cash balance sheet. Cyclical equipment exposure prevents a top-decile score.	88
Recent Trend	Record Q3: revenue up 55% YoY, margins expanding, guidance raised for the third time this year. Textbook acceleration.	90
Forward Growth	High-NA ramp, 75% memory growth guide, and AI capex visibility through 2030. Drivers are disclosed and measurable.	82
Valuation	Priced for perfection: 28x EV/EBITDA, 26x forward P/E, above 5-year multiple history. Reverse DCF implies 21.9% CAGR, above our bull case.	32
Catalysts & Risk	Q4 print and High-NA shipments are near-term positives; China export controls and multiple compression are live risks. Balanced skew.	55

Investment view

A pullback toward our $1,408.40 base case would flip Valuation from a drag to neutral and likely lift the composite into the mid-70s. Conversely, any High-NA delay or China revenue loss would cut Forward Growth and Catalysts simultaneously.

Investment view: Hold, Valuation Concerns. The $1,436.21 blended target implies -14%, balancing the $1,154.18 / $1,408.40 / $1,773.87 Bear / Base / Bull outcomes.

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